

The literature provides mixed theoretical and empirical evidence on the efficacy of stimulus packages in developed economies. Early empirical work reports multipliers above one (Rotemberg and Woodford 1992; Blandhard and Perotti 2002; Gali, Lopez-Salido and Valles 2007), but more recent work reports multipliers near or below unity, challenging the wisdom of all the recent government stimuli. Barro and Redlick (2009) discount earlier multiplier estimates as biased because of business cycle endogeneity, and argue that a focus on defense spending allows a cleaner estimate – which turns out to be below one under most conditions. This accords with estimates by Edelberg, Eichenbaum and Fisher (1999), Burnside, Eichenbaum and Fisher (2004), and others. Ramey (2009) estimates the multiplier as lying between 0.6 and 1.1, and criticizes larger estimates as biased due to model misspecification. Freedman *et al.* (2009) show a wide range of short-run (two years) multipliers, ranging from 0.2 to 2.2 in the United States; but stress that government spending hikes almost always beget fiscal deficits and therefore reduce long run output. The efficacy of tax cuts is also uncertain. Barro and Redlick (2009) estimate that a one percentage point cut in the mean marginal tax rate raises the subsequent year's GDP growth rate by about 0.6%. However, Feldstein (2009) estimates a much weaker response - a marginal propensity to consume from tax cuts of only 0.13. Debates in other countries echo that in the U.S.

The Chinese government's stimulus in the wake of the 2008 crisis wrought a large and almost immediate response. Beijing announced its stimulus package in the 4th quarter in 2008 and annualized real GDP growth rates in the four quarters of